The RBI's role in macroeconomic stability is, however, still fuzzy. While RBI clearly has responsibility for the safety and soundness of credit institutions and the stability of the external account, there are some areas that are hazier. For example, with an inflation-focused framework, the RBI's ability to be accommodative depends on fiscal prudence from the centre and states. How much should the RBI warn on fiscal profligacy, including the building up of contingent liabilities, and when should such warning be seen as interfering in the legitimate decisions of the elected representatives of the people? This is an area where clarity would be useful.

STRENGTHEN OVERSIGHT

The freedom the RBI has to take operational decisions such as the FCNR (B) swap arrangement, albeit invariably in consultation with the finance ministry, is important. However, there are always government entities that are seeking oversight over various aspects of the RBI's activities. Multiple layers of scrutiny, especially by entities that do not have the technical understanding, will only hamper decision making. Instead, the government-appointed RBI Board, which includes ex-officio government officials as well as government appointees, should continue to play its key oversight role. In this regard, all important RBI decisions including budgets, licences, regulation, and supervision are now either approved by the Board or one of its sub-committees. Vacancies in the RBI Board, which have remained unfilled for many months now, should be filled quickly so that the full expertise and oversight of the Board can be utilized.

It is also important that Parliament understand what the central bank is doing. The Governor and deputy governors interact regularly with various parliamentary committees, but we have also initiated a six-monthly interaction with the Parliamentary Standing Committee